**AAVIN EQUITY PARTNERS I, LP**

AUDITED FINANCIAL STATEMENTS
AND SUPPLEMENTARY INFORMATION

YEARS ENDED DECEMBER 31, 2015 and 2014

with

INDEPENDENT AUDITOR'S REPORT

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**INDEPENDENT AUDITOR'S REPORT**

The General Partner
AAVIN Equity Partners I, LP
Cedar Rapids, Iowa

***Report on the Financial Statements***

We have audited the accompanying financial statements of AAVIN Equity Partners I, LP (a partnership), which comprise the statements of financial position as of December 31, 2015 and 2014 and the related statements of operations realized, cash flows, and partners' capital for the years then ended included in SBA Form 468, and the related notes to the financial statements.

***Management's Responsibility for the Financial Statements***

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the basis of accounting described in Note 1; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

***Auditor's Responsibility***

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

***Opinion***

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of AAVIN Equity Partners I, LP as of December 31, 2015 and 2014, and the results of its operations and its cash flows for the years then ended in accordance with the financial reporting provisions of the Small Business Administration ("SBA") as described in Note 1.

**INDEPENDENT AUDITOR'S REPORT, CONTINUED**

***Basis of Accounting***

We draw attention to Note 1 of the financial statements, which describes the basis of accounting. The financial statements have been prepared in conformity with the accounting practices prescribed or permitted by the SBA, which is a comprehensive basis of accounting other than accounting principles generally accepted in the United States of America, to comply with the reporting requirements of the SBA. The investment securities included in the financial statements have been valued by the General Partner using valuation criteria applicable to the licensee. These criteria were established in accordance with section 310(d)(2) of the Small Business Investment Act of 1958, as amended. Accordingly, the accompanying financial statements are not intended to be a presentation in conformity with accounting principles generally accepted in the United States of America. At December 31, 2015 and 2014, such investment securities have been valued at $8,262,493 (88% of total assets) and $9,120,716 (95% of total assets), respectively, whose values have been estimated by the General Partner in the absence of readily ascertainable market values. We have reviewed the procedures used by the General Partner in preparing the valuations of investment securities and have inspected the underlying documentation and, in the circumstances, we believe the procedures are reasonable and the documentation appropriate. However, in the case of those securities with no readily ascertainable market values, because of the inherent uncertainty of the valuation, the General Partner's estimate of values may differ significantly from the value that would have been used had a ready market existed for the securities and the differences could be material.

***Restriction on Use***

This report is intended solely for the information and use of the management of AAVIN Equity Partners I, LP and the SBA and is not intended to be and should not be used by anyone other than those specified parties.

***Report on Supplementary Information***

Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The schedules of investments are presented for purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

*Bohr, Dahm, Greif & Associates, P.C.*

Cedar Rapids, Iowa
February 29, 2016

AAVIN EQUITY PARTNERS I, LP
STATEMENTS OF FINANCIAL POSITION
December 31, 2015 and 2014

| | 2015 | 2014 |
|---|---|---|
| Assets: | | |
| Investments, at value determined by General Partner; | | |
| cost of $6,406,578 and $7,449,925 (Note 1) | $ 8,262,493 | $ 9,120,716 |
| Cash and cash equivalents | 1,060,294 | 411,629 |
| Restricted cash | 75,441 | 75,328 |
| Total assets | $ 9,398,228 | $ 9,607,673 |
| Liabilities: | | |
| SBA participating securities (Note 3) | $ 4,058,547 | $ 4,058,547 |
| SBA prioritized payments payable (Note 3) | 299,412 | 75,674 |
| Due to affiliate (Note 4) | 242,765 | 141 |
| Other liabilities | - | 10,982 |
| Total liabilities | 4,600,724 | 4,145,344 |
| Partners' capital: | | |
| Contributed capital | 2,403,102 | 2,403,102 |
| Retained earnings | 538,485 | 1,388,436 |
| Unrealized appreciation of investments | 1,855,917 | 1,670,791 |
| Total partners' capital | 4,797,504 | 5,462,329 |
| Total liabilities and partners' capital | $ 9,398,228 | $ 9,607,673 |

See notes to financial statements.

AAVIN EQUITY PARTNERS I, LP
STATEMENTS OF OPERATIONS REALIZED
Years ended December 31, 2015 and 2014

| | 2015 | 2014 |
|---|---|---|
| Investment income: | | |
| Dividend income | $ 95,886 | $ 561,329 |
| Interest income | 113 | 119 |
| Other income | 10,982 | - |
| Total investment income | 106,981 | 561,448 |
| Expenses: | | |
| Earned prioritized payments (Note 3) | 299,412 | 313,435 |
| Investment management fee, net (Note 4) | 257,626 | 261,144 |
| Insurance | 1,042 | 14,400 |
| Taxes | 507 | 250 |
| Legal fees | 4,091 | 3,198 |
| Audit and examination fees | 19,388 | 26,382 |
| Investment advisors fees | 1,000 | 1,000 |
| Bank service charge | 36 | 156 |
| Dues | 1,230 | 1,281 |
| Communications | 427 | - |
| Supplies | 304 | 291 |
| Travel | 440 | - |
| Other | 1,645 | - |
| Total expenses | 587,148 | 621,537 |
| Net investment loss | (480,167) | (60,089) |
| Net realized loss on investments | (369,784) | (792,313) |
| Net loss | $ (849,951) | $ (852,402) |

See notes to financial statements.

AAVIN EQUITY PARTNERS I, LP
STATEMENTS OF CASH FLOWS
Years ended December 31, 2015 and 2014

| | 2015 | 2014 |
|---|---|---|
| Cash flows from operating activities | | |
| Dividends received from portfolio concerns | $ 95,886 | $ 561,329 |
| Interest on cash equivalents and invested idle funds | 113 | 119 |
| Investment advisory and management fees | (15,000) | (321,000) |
| Other operating cash disbursements | (30,110) | (47,677) |
| Net cash provided by operating activities | 50,889 | 192,771 |
| Cash flows from investing activities | | |
| Proceeds from sale of investments | 673,563 | 1,100,000 |
| Net cash provided by investing activities | 673,563 | 1,100,000 |
| Cash flows from financing activities | | |
| Redemption of participating securities | - | (245,189) |
| Distributions paid to limited partners | - | (333,610) |
| Payments for prioritized payments, charges, and adjustments | (75,674) | (560,754) |
| Net cash used in financing activities | (75,674) | (1,139,553) |
| Net decrease in cash and cash equivalents | 648,778 | 153,218 |
| Cash and cash equivalents, beginning of year | 486,957 | 333,739 |
| Cash and cash equivalents, end of year | $ 1,135,735 | $ 486,957 |
| Reconciliation of net loss to net cash provided by (used in) operating activities | | |
| Net loss | $ (849,951) | $ (852,402) |
| Adjustments to reconcile net loss to net cash provided by (used in) operating activities | | |
| Earned prioritized payments, charges, and adjustments | 299,412 | 313,435 |
| Realized losses on sale of investments | 369,784 | 792,313 |
| Effects of changes in operating assets and liabilities: | | |
| Decrease in other liabilities | (10,982) | - |
| Decrease in accounts payable | - | (721) |
| Increase (decrease) in due to affiliate | 242,626 | (59,854) |
| Net cash provided by operating activities | $ 50,889 | $ 192,771 |

See notes to financial statements.

AAVIN EQUITY PARTNERS I, LP
STATEMENTS OF PARTNERS' CAPITAL
Years ended December 31, 2015 and 2014

| | Contributed Capital | | | | | Total | |
|---|---|---|---|---|---|---|---|
| | General Partner | Limited Partners | Total | Retained Earnings | Unrealized Appreciation (Depreciation) | Private Partners' Capital | Total Partners' Capital |
| Balance at December 31, 2013 | $ (1,097,148) | $ 3,500,250 | $ 2,403,102 | $ 2,574,448 | $ 2,964,204 | $ 7,941,754 | $ 7,941,754 |
| Distributions | - | - | - | (333,610) | - | (333,610) | (333,610) |
| Net loss | - | - | - | (852,402) | - | (852,402) | (852,402) |
| Net change in unrealized depreciation in investments | - | - | - | - | (1,293,413) | (1,293,413) | (1,293,413) |
| Balance at December 31, 2014 | $ (1,097,148) | $ 3,500,250 | $ 2,403,102 | $ 1,388,436 | $ 1,670,791 | $ 5,462,329 | $ 5,462,329 |
| Net loss | - | - | - | (849,951) | - | (849,951) | (849,951) |
| Net change in unrealized appreciation in investments | - | - | - | - | 185,126 | 185,126 | 185,126 |
| Balance at December 31, 2015 | $ (1,097,148) | $ 3,500,250 | $ 2,403,102 | $ 538,485 | $ 1,855,917 | $ 4,797,504 | $ 4,797,504 |

See notes to financial statements.

1. Nature of business and significant accounting policies

Organization and nature of business

AAVIN Equity Partners I, LP (the "Partnership") is a limited partnership organized under the laws of the State of Delaware to operate as a venture capital company to provide equity capital and loans to small market growth and later stage businesses throughout the United States. The Partnership obtained a license as a Small Business Investment Company ("SBIC") from the U.S. Small Business Administration ("SBA") and commenced operations on September 21, 2000. The Partnership operates solely as an SBIC licensed by the SBA pursuant to the Small Business Investment Act of 1958, as amended, and under the rules and regulations promulgated thereunder by the SBA. As of December 31, 2015 and 2014, the Partnership consists of 32 limited partners and a General Partner, AAVIN, LLC, and a preferred limited partner, the SBA. The Partnership's fiscal year ends December 31. Significant accounting policies followed by the Partnership are presented below.

The Partnership executed the Agreement of Limited Partnership ("Agreement") as of September 21, 2000. Under the Agreement, the Partnership shall continue until the withdrawal, dissolution or bankruptcy of the General Partner or the later of: (1) January 21, 2010, (2) two years after the SBA has withdrawn from the Partnership and all outstanding leverage has matured and all amounts due to the SBA have been paid, or (3) the election of the General Partner and a majority of the private limited partners to dissolve the Partnership. The life of the Partnership may be extended for two additional two-year periods as determined by the General Partner.

Basis of accounting

The accompanying financial statements have been prepared on a basis of accounting prescribed by the U.S. Small Business Administration which is a basis of accounting other than accounting principles generally accepted in the United States of America ("U.S. GAAP"). Some of the key considerations are as follows:

The investment securities included in the financial statements have been valued by the General Partner using the valuation criteria applicable to the licensee. This criteria was established in accordance with Section 310(d)(2) of the Small Business Investment Act of 1958, as amended. The reported value used for equity securities in the Statement of Financial Position (also known as "SBA Guideline Value"), must be determined in accordance with a licensee's valuation policy and is reported by the SBIC as of a measurement date in accordance with SBIC 13 CFR 107.503. Reported value may differ in certain instances from fair value, which is the measurement of value that would comply with U.S. GAAP. In September 2006, the FASB issued ASC 820-10, *Fair Value Measurements*, which defined fair value in accordance with U.S. GAAP as the "price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date." The primary differences

1. Nature of business and significant accounting policies, continued

Basis of accounting, continued

between the two measurements are that in the case of values determined in accordance with SBA Guideline Value (i) an increase in value above cost may only be reflected in reported value if it has a specific permitted basis under the licensee's valuation policy; (ii) liquidity (or "blockage") discounts, which are prohibited under U.S. GAAP, must be considered for inclusion in reported value; (iii) the reported value of interest-bearing securities is not adjusted for changes in interest rates. It is expected that reported value will not exceed, but may be less than, "fair" value in accordance with GAAP. The differences between reported values and U.S. GAAP reported fair values may be significant.

There may also be other differences between SBA-basis financial statements and U.S. GAAP-basis financial statements including, but not limited to, the treatment of unrealized gains and losses, presentation of financial highlights, and treatment of participating securities, prioritized payments and SBA profit participation.

Investments

Investment securities of the Partnership are included in the Statements of Financial Position at SBA Guideline Value, as described previously. Investments for which no active public market exists are valued at SBA Guideline Value as determined in good faith by the General Partner and approved by the investment committee of the General Partner, based on all relevant factors. These investments are carried at cost until events subsequent to the date of investment indicate that cost is not the best measure of SBA Guideline Value. If such events have occurred, the value is determined by taking into consideration the cost of the securities; developments concerning the company to which the securities relate subsequent to the acquisition of the securities; any financial statements and projections of the company provided to the General Partner; and, such other factor or factors as the General Partner may deem relevant. Among the factors considered in determining the reported value of investments are the cost of the investment; developments subsequent to the acquisition of the investment, including recent financing transactions; the financial condition and operating results of the portfolio investment; market values for similar securities; the long-term potential of the business of the portfolio investment; overall market conditions and other factors generally pertinent to the valuation of investments.

In the valuation process, the General Partner uses financial information received monthly, quarterly, and annually from the portfolio companies which includes both audited and unaudited financial statements. This information is used to determine financial condition, performance, and valuation of the portfolio investments.

The value of certain investments may also be adjusted to equate to a subsequent significant equity financing that includes a sophisticated, unrelated new investor. An investment may be valued at less than cost if the investee shows a significant fundamental deterioration in financial position or operating results or has defaulted under the terms of its agreement with the Partnership.

1. Nature of business and significant accounting policies, continued

Investments, continued

Securities whose values have been estimated by the General Partner, and approved by the investment committee, of $8,262,493 represent 88% of total assets at December 31, 2015. The Partnership made no new investments and did not fund any follow-on financings during 2015. Securities whose values have been estimated by the General Partner, and approved by the investment committee, of $9,120,716 represent 95% of total assets at December 31, 2014. The Partnership did not fund any follow-on financings during 2014.

During 2015, the Company sold its investment in Celleration, Inc. and received $326,952 in cash along with 65,623 shares of stock in the acquiring company, Alliqua BioMedical ("Alliqua"). At the time of sale, this stock was valued at $314,990. The Company realized a loss on the sale of its interest in Celleration, Inc. of $401,405. The Company subsequently sold all the shares of Alliqua stock received in the transaction for gross proceeds of $346,611. The Company realized a gain of $31,621 from the sale of the Alliqua stock that is included in the realized loss on investments in the statements of operations realized. As a result of these transactions the Partnership's net realized loss on the sale of investment was $369,784. Terms of the sale of Celleration, Inc. required cash and additional shares of Alliqua stock to be held in escrow for payment of indemnification claims for a period of 18 months following the close of the transaction. The Company's share of the escrow funds was approximately $33,000 cash and 4,618 shares of Alliqua stock. The Company did not include its share of the escrow account value in the consideration received in the transaction as it is uncertain whether any of the funds will be received.

On December 31, 2015, America's Powersports, Inc. ("APS") one of the Partnership's portfolio investments, entered into an Agreement and Plan of Merger (the "Merger Agreement") with CMG Powersports, Inc., a Delaware corporation ("Acquiror"), CMG Powersports Merger Sub, Inc., a Delaware corporation and wholly-owned subsidiary of Acquiror ("Merger Sub"), and Wind Point Partners III, L.P., a Delaware limited partnership, as agent for the stockholders of APS (the "Stockholders Representative"). Pursuant to the Merger Agreement, APS and Merger Sub will combine into a single company through which the statutory merger of Merger Sub with and into APS (the "Merger"), with APS surviving the Merger as a wholly-owned subsidiary of Acquiror. Terms of the Merger Agreement provide for an initial aggregate purchase price of $27,000,000, subject to post-closing adjustments. The Merger Agreement is subject to the conditions of no material adverse change, approval by company OEMs and being approved by APS stockholders.

The Merger Agreement contains termination provisions stating that the Merger Agreement may be terminated at any time prior to the closing: 1) by mutual written consent of Acquiror and APS; 2) by either Acquiror or APS if the Merger shall not have been consummated by April 30, 2016; or 3) by Acquiror or the Stockholders Representative, if there has been a breach of any representation, warranty, covenant or agreement on the part of the other party set forth in the Merger Agreement. The Partnership expects to receive approximately $2,175,000 in cash at the time of closing.

1. Nature of business and significant accounting policies, continued

Investments, continued

During 2014, the Company realized a loss on the common stock and series A preferred stock of Archon Woodworks, Inc. totaling $1,342,313. The Company had previously recorded unrealized losses on this investment, but during 2014 it became evident the liquidation preferences of series C and series B preferred stock will result in no future value for the common stock and series A preferred stock. Archon Woodworks, Inc. continues to operate and has plans to improve future operating results. The Company expects to receive value for the series B and series C preferred stock in a future exit transaction.

During 2014, the Company redeemed all of their preferred stock in Halo Innovations, Inc. for $5 per share. Proceeds from this redemption were $1,100,000 and resulted in a realized gain of $550,000. In addition, the Company received $352,000 of accumulated preferred dividends at the time of redemption.

Use of estimates in preparing financial statements

The preparation of financial statements in conformity with accounting practices prescribed by the SBA requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates. The most significant estimate is the estimate of the SBA guideline value of equity investments, which is subject to significant market risk and could differ materially from actual values realized.

Concentration of credit risk

The Company maintains its cash and cash equivalents at two financial institutions. The balances are insured by the Federal Deposit Insurance Corporation ("FDIC") up to $250,000. As of December 31, 2015 there was approximately $810,000 in excess of the insured limit at one financial institution.

Cash and cash equivalents

The Partnership considers highly liquid investments with maturities of three months or less when purchased to be cash equivalents. At December 31, 2015 and 2014, cash equivalents consisted of investments in money market funds and a certificate of deposit.

Restricted cash

The Partnership has a certificate of deposit with a financial institution that is pledged as a guarantee for partnership portfolio company Archon Woodwork's financing needs. The balance of this certificate of deposit was $75,441 and $75,328 at December 31, 2015 and 2014, respectively.

Deferred charges

Costs associated with issuing participating securities are capitalized and amortized over the life of the respective securities. All deferred charges are fully amortized.

1. Nature of business and significant accounting policies, continued

Partners' capital – allocation of gain and loss

Capital contributions are credited to the partners' capital accounts when received by the Partnership. Capital distributions are debited to the partners' capital accounts when paid. Income and losses are allocated to the partners' accounts in accordance with the Agreement as described below except as set forth in Note 3 regarding the SBA's preferred limited partnership interest.

Under the terms of the partnership agreement, net losses are allocated to the private partners in the following order: first, net losses are allocated to offset any net profits that have been allocated during the prior periods, and second, to the private partners in proportion to their partnership percentages. The Agreement also provides that at such time that the capital account of the general partner or any limited partner is reduced to an amount equal or less than the aggregate capital contributions of such private partners, then the balance of all net losses are allocated first to the capital accounts of the private partners until such time the capital accounts are reduced to zero, second to the preferred limited partnership interest until such time its capital account is reduced to zero, and finally, any balance is allocated to the General Partner. Net profits are first allocated in a manner to cure any allocation of previous losses as described above.

The preferred limited partnership interest is then entitled to an allocation of prioritized payments and profit participation. The preferred limited partnership interest entitles the SBA, prior to any allocation of income to the General Partner and limited partners, to receive payments from the Partnership for all cumulative "earmarked profits," as defined, earned by the Partnership up to an amount determined by applying a specific rate of interest to each tranche of capital contributed by the SBA, referred to as "prioritized payments."

Prioritized payments are only due and payable upon the Partnership obtaining cumulative earmarked profits. The balance of any net profits is then allocated 80% to the limited partners pro rata according to their respective partnership percentages and 20% to the General Partner.

Distributions to partners, other than tax distributions, are first made to the preferred limited partnership interest as described in Note 3. Next, distributions are generally made to the private partners in an amount equal to reimburse each private partner for the expenses, costs and losses associated with disposed securities and securities in which the value is less than original cost. Thereafter, distributions are made 80% to the private partners pro rata according to their respective partnership percentages and 20% to the General Partner. Certain distributions to the General Partner are restricted until final dissolution of the Partnership.

Revenue recognition

Interest income is recorded on the accrual basis. Accrual of interest is ceased when, in the judgment of management, the collectability of such income is doubtful. A reserve for loss is established to the extent there is doubt as to the collection of the amounts previously accrued. Dividend income is recognized on the date the dividend is declared.

1. Nature of business and significant accounting policies, continued

Revenue recognition, continued

Amounts reported as realized gains or losses on investments are measured by the difference between the net proceeds of sale or write-off and the cost basis of the investment on the specific identification method, without regard to unrealized gains and losses. The cost of securities that have, in the General Partner's judgment, become worthless, are written off and reported as realized losses.

In conjunction with the investment process, the Partnership negotiates nonrefundable processing fees with many companies in which it invests. These fees are compensation for time and effort of the investment advisory personnel and for reimbursement of expenses related to the due diligence. These fees are recognized as income when received.

Unrealized appreciation of investments

Unrealized gains (losses) on securities held results from the valuation of investments by the General Partner. Unrealized appreciation is recognized for valuations above cost and unrealized depreciation is recognized for valuations below cost. Unrealized gains or losses are the aggregate amounts obtained by summing the unrealized appreciation or depreciation of all investments, net of any estimated future income tax effects. Such changes are recorded directly in the partners' capital account, unrealized appreciation of investments, in the Statement of Financial Position.

Income taxes

The Partnership, with the consent of its partners, has elected to be taxed under sections of the federal and state income tax law as a Partnership. As a result of this election, no income taxes are paid by the Partnership. Instead, the Partners separately pay tax on their pro rata allocation of the Partnership's income, deductions, losses and credits.

Subsequent events

Management has evaluated subsequent events through February 29, 2016, the date the financial statements were available to be issued.

2. Deferred financing costs

As of December 31, 2015 and 2014, all SBA leverage commitments have expired with total SBA leverage funded of $31,055,000. The Partnership has issued participating securities in the form of a Preferred Limited Partnership interest to the SBA (defined as "leverage" in 13 CFR 107.50). As of December 31, 2015 and 2014, the Partnership had paid $1,148,149 in aggregate fees to the SBA related to leverage, which are amortized on a straight-line basis over five years. There were no additional commitment or leverage fees paid to the SBA for the years ended December 31, 2015 and 2014. As of December 31, 2015 and 2014 the fees have been fully amortized and there was no amortization expense recorded for the years ended December 31, 2015 and 2014.

3. SBA participating securities

The Partnership has issued participating securities to the SBA in the form of a Preferred Limited Partnership interest. The SBA shares in the Partnership's net profits as a Preferred Limited Partner and earns interest on participating securities that have been issued. Amounts earned by the SBA related to the issuance of participating securities (earned prioritized payments, earned adjustments and earned charges) are due to the SBA only when the Partnership has cumulative earmarked profits as defined in the SBIC Act. The SBA has fully funded their $31,055,000 commitment to the partnership.

The following is a table of leverage commitments funded and redemptions, including applicable payment rates, as of December 31, 2015:

| Leverage Pooling Date | Maturity Date | SBA Leverage Funded | SBA Leverage Redemptions | Outstanding SBA Leverage | Interest Rate |
|---|---|---|---|---|---|
| 2/27/2002 | 2/1/2012 | $ 4,050,000 | $ (4,050,000) | $ - | 7.03% |
| 8/28/2002 | 8/1/2012 | 1,750,000 | (1,750,000) | - | 6.20% |
| 2/26/2003 | 2/1/2013 | 2,925,000 | (2,925,000) | - | 5.52% |
| 8/27/2003 | 8/1/2013 | 1,820,000 | (1,820,000) | - | 6.14% |
| 2/25/2004 | 2/1/2014 | 2,455,000 | (2,455,000) | - | 5.50% |
| 2/25/2004 | 2/1/2014 | 300,000 | (300,000) | - | 5.88% |
| 8/25/2004 | 8/1/2014 | 2,100,000 | (2,100,000) | - | 6.13% |
| 2/23/2005 | 2/1/2015 | 2,730,000 | (2,730,000) | - | 6.01% |
| 8/24/2005 | 8/1/2015 | 3,980,000 | (3,980,000) | - | 6.32% |
| 2/22/2006 | 2/1/2016 | 1,655,000 | (1,655,000) | - | 6.78% |
| 2/22/2006 | 2/1/2016 | 1,380,000 | (1,380,000) | - | 6.86% |
| 8/23/2006 | 8/1/2016 | 1,100,000 | (1,100,000) | - | 7.14% |
| 8/22/2007 | 8/1/2017 | 750,000 | (750,000) | - | 7.24% |
| 2/27/2008 | 2/1/2018 | 2,000,000 | (1,453) | 1,998,547 | 7.36% |
| 8/27/2008 | 8/1/2018 | 2,060,000 | - | 2,060,000 | 7.40% |
| | | $ 31,055,000 | $ (26,996,453) | $ 4,058,547 | |

Interest expense is recorded when earned based on a calculation performed annually comparing cumulative earmarked profits to cumulative distributions to the SBA. Based on this calculation, $299,412 and $313,435 was expensed as earned prioritized payments during the years ended December 31, 2015 and 2014, respectively. In addition, $299,412 and $75,674 was included as SBA prioritized payments payable in the Statement of Financial Position at December 31, 2015 and 2014, respectively.

Stated maturities of outstanding SBA leverage at December 31, 2015 are as follows:

| | |
|---|---|
| 2018 | $4,058,547 |

3. SBA participating securities, continued

The leverage with the SBA represents a preferred partnership interest. The preferred limited partnership interest entitles the SBA, prior to any allocation of income to the general partner and private limited partners (collectively, the private partners), to receive payments from the Partnership from all cumulative "earmarked profits" earned by the Partnership up to an amount determined by applying a specified rate of interest to each tranche of capital contributed by the SBA, referred to as "prioritized payments". Prioritized payments are only due and payable upon the Partnership obtaining cumulative earmarked profits. Through December 31, 2015 and 2014, the Partnership has paid the SBA $12,709,771 and $12,634,097, respectively, in priority yield and $1,565,127 in profit participation. Interest accrues on the amount of unpaid prioritized payments at a floating rate equal to the average trust certificate rate. As of December 31, 2015 and 2014, the Partnership's earned prioritized payment balance accrued was $299,412 and $75,674, respectively. The long-term rates applied to the tranches of capital contributed to date which remain outstanding at December 31, 2015 are between 7.36% and 7.40%. In addition, the SBA is entitled to an allocation of the profits generated by the Partnership in excess of the prioritized payments up to a maximum specified allocation percentage. Further, the SBA does not receive an allocation of any losses generated by the Partnership until such time as the private partners' capital accounts are reduced to zero. The private partners receive allocations of profit and loss as described in Note 1.

The Partnership tracks prioritized payments, adjustments and changes using three accounts:

1. An accumulation account, a memorandum account representing accumulated prioritized payments, unearned adjustments and unearned charges.

2. A distribution account, a liability account reflecting the amount currently payable to the SBA representing unpaid earned prioritized payments, earned adjustments and earned charges. The Partnership is required to distribute the balance in its distribution account annually.

3. An earned payments account, a memorandum account to which the amounts added to the distribution account balance are accumulated and is the cumulative total of all amounts payable to the SBA. The earned payments account balance represents the total of both paid and unpaid earned prioritized payments, earned adjustments and earned charges.

The Partnership is required to redeem participating securities upon the Partnership's liquidation or the participating securities' redemption date. On redemption, the Partnership is required to pay the redemption price and any unpaid earned prioritized payments, earned adjustments and earned charges.

After redemption, the Partnership will continue to pay earned prioritized payments, charges and adjustments for as long as assets are identified as being purchased with proceeds from SBA participating securities.

3. SBA participating securities, continued

A summary of the Partnership's participating securities and activity in the Partnership's accumulation account, distribution account and earned payments account are as follows:

| | Prioritized Payments | Charges | Adjustments | Total |
|---|---|---|---|---|
| Accumulation account, | | | | |
| January 1, 2014 | $ - | $ - | $ - | $ - |
| Add: Total prioritized payments | 252,377 | - | - | 252,377 |
| Add: Total charges | - | 62,024 | - | 62,024 |
| Add: Total adjustments | - | - | (966) | (966) |
| Less: Earned prioritized payments, charges and adjustments | (252,377) | (62,024) | 966 | (313,435) |
| December 31, 2014 | - | - | - | - |
| Add: Total prioritized payments | 240,401 | - | - | 240,401 |
| Add: Total charges | - | 59,011 | - | 59,011 |
| Add: Total adjustments | - | - | - | - |
| Less: Earned prioritized payments, charges and adjustments | (240,401) | (59,011) | - | (299,412) |
| Accumulation account, December 31, 2015 | $ - | $ - | $ - | $ - |

| | Prioritized Payments | Charges | Adjustments | Total |
|---|---|---|---|---|
| Distribution account, | | | | |
| January 1, 2014 | $ 254,594 | $ 62,576 | $ 5,823 | $ 322,993 |
| Add: Earned prioritized payments, charges and adjustments | 252,377 | 62,024 | (966) | 313,435 |
| Less: Distributions paid | (446,213) | (109,684) | (4,857) | (560,754) |
| December 31, 2014 | 60,758 | 14,916 | - | 75,674 |
| Add: Earned prioritized payments, charges and adjustments | 240,401 | 59,011 | - | 299,412 |
| Less: Distributions paid | (60,758) | (14,916) | - | (75,674) |
| Distribution account, December 31, 2015 | $ 240,401 | $ 59,011 | $ - | $ 299,412 |

| | |
|---|---|
| Earned payments account, | |
| January 1, 2014 | $ 12,396,336 |
| Add: Earned Prioritized payments | 313,435 |
| December 31, 2014 | 12,709,771 |
| Add: Earned Prioritized payments | 299,412 |
| Earned payments account, December 31, 2015 | $ 13,009,183 |

4. Management agreement and related party transactions

The General Partner has contracted with AAVIN Equity Advisors, LLC ("AAVIN") to manage the Partnership's activities. Under the terms of the management agreement ("agreement"), AAVIN provides essentially all of the management and administrative services required by the Partnership. The agreement expires upon termination of the Partnership. The management fee is limited to 2.5% of the Partnership's combined capital (as defined in 3 CFR 107), plus $125,000 when aggregate combined capital is less than $20,000,000. SBA rules also require that fees received under 13 CFR 107.860 of the SBA regulations (loan application or closing fees) must be paid directly to the SBIC fund or treated as an offset to management fees. No such fees were generated during the years ended December 31, 2015 and 2014. Also, pursuant to the agreement, other fees received by the General Partner from any portfolio company reduce eligible management fees. During the years ended December 31, 2015 and 2014, management fees expensed to AAVIN totaled $257,626 and $261,144, respectively, which is net of $28,916 each year paid to AAVIN by a portfolio company for consulting fees. Accrued management fees of $242,765 and $141 were payable to AAVIN at December 31, 2015 and 2014, respectively.

Three of the limited partners of the Partnership are also members of the General Partner. One of the members of the General Partner owns 100% of AAVIN Equity Advisors, LLC.

5. SBA compliance

The SBA requires the Partnership to calculate a quarterly capital impairment ratio and notify the SBA if impairment exists. As of December 31, 2015 and 2014, the fund was in compliance with its' permitted capital impairment threshold.

* * * * *

SUPPLEMENTARY INFORMATION

AAVIN EQUITY PARTNERS I, LP
SCHEDULE OF INVESTMENTS
December 31, 2015

| Company | Security | SBA Guideline Value | Cost |
|---|---|---|---|
| Retail | | | |
| America's Power Sports, Inc. | | | |
| Power sport equipment | 2,175.403 shares of Series B Preferred Stock | $ 2,175,403 | $ 2,141,105 |
| Brentwood, TN | 203,520 shares of Common Stock | - | 203,520 |
| | | 2,175,403 | 2,344,625 |
| Coolibar, Inc. | | | |
| Sun-protection clothing | 9,433 shares of Series D Cumulative Convertible Participating Preferred Stock | 4,136,898 | 2,358,240 |
| Minneapolis, MN | 6,654 shares of Series E Cumulative Convertible Participating Preferred Stock | 1,043,920 | 595,086 |
| | | 5,180,818 | 2,953,326 |
| | | 7,356,221 | 5,297,951 |
| Manufacturing | | | |
| Archon Woodworks, Inc. (F/k/a Hoffco) | | | |
| Cabinet manufacturing | 18,289 shares of Series B Preferred | 824,525 | 1,008,627 |
| Wood Lake, MN | 1,000 shares Class C Preferred | 81,747 | 100,000 |
| | | 906,272 | 1,108,627 |
| | Totals | $ 8,262,493 | $ 6,406,578 |

AAVIN EQUITY PARTNERS I, LP
SCHEDULE OF INVESTMENTS
December 31, 2014

| Company | Security | SBA Guideline Value | Cost |
|---|---|---|---|
| Retail | | | |
| America's Power Sports, Inc. | | | |
| Power sport equipment | 2,175.403 shares of Series B Preferred Stock | $ 2,365,072 | $ 2,141,105 |
| Brentwood, TN | 203,520 shares of Common Stock | 224,809 | 203,520 |
| | | 2,589,881 | 2,344,625 |
| Coolibar, Inc. | | | |
| Sun-protection clothing | 9,433 shares of Series D Cumulative Convertible Participating Preferred Stock | 4,136,898 | 2,358,240 |
| Minneapolis, MN | 6,654 shares of Series E Cumulative Convertible Participating Preferred Stock | 1,043,920 | 595,086 |
| | | 5,180,818 | 2,953,326 |
| | | 7,770,699 | 5,297,951 |
| Manufacturing | | | |
| Archon Woodworks, Inc. (F/k/a Hoffco) | | | |
| Cabinet manufacturing | 18,289 shares of Series B Preferred | 824,525 | 1,008,627 |
| Wood Lake, MN | 1,000 shares Class C Preferred | 81,747 | 100,000 |
| | | 906,272 | 1,108,627 |
| Medical | | | |
| Celleration, Inc. | | | |
| Ultrasonic wound care | 281.06 warrants to purchase shares of Series C Convertible expiring 5/17/15 | - | - |
| Eden Prairie, MN | 170 Warrants to purchase shares of Common Stock at $.01 per share, expiring 6/19/17 and 9/28/17, respectively | - | - |
| | 837,152 shares of Series AA Preferred Stock | 65,513 | 154,036 |
| | 1,545,580 shares of Common Stock | 378,232 | 889,311 |
| | | 443,745 | 1,043,347 |
| | Totals | $ 9,120,716 | $ 7,449,925 |

AAVIN
PRIVATE EQUITY

# AAVIN EQUITY PARTNERS I, LP
# VALUATION SUMMARY
# DECEMBER 31, 2015

| Investment | Date | Previous Valuation 6/30/15 | Exits | New Money Invested | Valuation Changes | Current Valuation 12/31/15 | Cost 12/31/15 | Total Appreciation/ (Depreciation) |
|---|---|---|---|---|---|---|---|---|
| America's PowerSports | 12/23/2003 | $2,175,403 | | | | $ 2,175,403 | $ 2,344,625 | $ (169,222) |
| Archon Woodworks, Inc. (fka Hoffco) | 12/2/2004 | 906,272 | | | | 906,272 | 1,108,627 | (202,355) |
| Coolibar, Inc. | 5/6/2005 | 5,180,818 | | | | 5,180,818 | 2,953,324 | 2,227,494 |
| Totals | | $ 8,262,493 | $ - | $ - | $ - | **$ 8,262,493** | **$ 6,406,576** | **$ 1,855,917** |

**AAVIN Equity Partners I, L.P.**

# Investment Valuation Report

**December 31, 2015**

Portfolio Company: **America's PowerSports, Inc.**

**Investment Date:** December 23, 2003

**AAVIN Principal:** Paul Rhines, Board Observer
Jim Thorp

**Equity Ownership:** 10.10% 10.00%

| Security | Current Valuation 12/31/2015 | Previous Valuation 6/30/2015 | Change | Cost |
|---|---|---|---|---|
| Series B PS, CS - Total | $ 2,175,403 | $ 2,175,403 | $ - | $ 2,344,625 |

| | | | |
|---|---|---|---|
| **Equity Valuation:** | $ 29,754,114 | **Enterprise Valuation:** | $ 29,754,114 |

## Valuation

APS, as of December 31, 2015, signed an agreement to be acquired by The Coulter Group at a price of approximately $27 million. The agreement is only subject only to the conditions of no material adverse change and receiving OEM approvals of the acquisition. Mr. Coulter is well known to the Harley organization and it is expected that he will get their approval without difficulty. The other OEMs are expected to also approve. Anticipated closing is late first quarter. At closing, AEP1 should realize $2.175 million.

AEP1's total investment in APS was originally $2.5 million. There has been a redemption of $155,375 of AAVIN's original preferred stock leaving a current total cost of $2,344,625. Of this amount $2,175,403 is preferred stock and $169,222 is common stock. The proposed transaction by Coulter Group results in the redemption of the remaining preferred stock that AEP1 holds and no value to the common stock. AEP1 has received total proceeds (dividends, management fees and securities redemptions) to date on this investment of $1,268,093. Should the acquisition occur as currently planned the total proceeds that AEP1 would have received on the investment would be $3,443,496 for a multiple of approximately 1.4 times.

### Preference Discussion & Liquidation Waterfall

In any liquidation all series of preferred stock issued by the company must be redeemed and dividends paid prior to any proceeds being distributed to common interests. APS has two series of preferred, A&B. Each series is redeemable at a

price equal to original cost. Series B is senior to Series A. Both series receive cumulated dividends at a 10% simple annual rate on a pari passu basis after each series has been redeemed. However dividends have been frozen at the totals accumulated as of 12/31/07 and will not further accumulate. Common shareholders share any remaining funds in liquidation after all payments to the preferred shareholders.

AEP1 originally owned 2,296.480 shares of Series B Preferred. On 12/31/12, the Company redeemed 121.077 of these shares so as of 12/31/12 AEP1 has 2,175.403 shares. Series B Preferred Stock has a redemption price of $1,000 per share with total B shares outstanding of 11,032. There are 18,205.380 shares of Series A Preferred Stock outstanding also redeemable at $1,000 per share for a total of $18,205,380.

**Business Description**

Founded in 1998 America's PowerSports, Inc. ("APS" or the "Company") is a consolidation of power sports equipment retailers (i.e. dealers of motorcycles, all terrain vehicles and personal watercraft).

**Financing**

On December 23, 2003, AAVIN Equity Partners I, L.P. ("AEP1") purchased 1,357.114 shares of Series B Preferred Stock ("Series B Preferred") for $1,357,114 at a price per share of $1,000. The Series B has a 10% cumulative dividend. In addition, AEP1 purchased 120,271 shares of Common Stock for $120,271 at a price per share of $1.00.

As a part of that original financing the investors made additional commitments that were callable by the Company. The Company called these commitments in early 2005. As a result on February 25, 2005 AEP1 invested an additional $1,022,615 in APS bringing its total investment in APS to $2,500,000. AEP1 purchased 939.366 shares of Series B Preferred and 83,249 shares of Common Stock in the February tranche.

**Current Status**

APS, as of December 31, 2015, signed an agreement to be acquired by The Coulter Group at a price of approximately $27 million subject only to no material adverse change and OEM approvals of the acquisition. Mr. Coulter is well known to the Harley organization having owned dealerships in the past and we expect to get their approval without any problems and fairly quickly. The other OEMs are expected to also approve but may take a little longer. Anticipated closing is late

first quarter. At closing, AEP1 should realize $2.175 million which is our current and most recent valuation.

While not expected to affect the transaction and well known to the Buyer, recent financial performance of the Company has been lackluster owing to several factors including concern among the general managers about the future ownership of the Company. Weather has also been a negative factor.

## Exit Strategy

See valuation section.

## Historical Financial Performance

| | Statement of Operations - Fiscal Year Ended December 31 | | | | | | |
|---|---|---|---|---|---|---|---|
| | **2008** | **2009** | **2010** | **2011** | **2012** | **2014** | **2015** |
| Sales | 212,454 | 139,851 | 108,264 | 125,661 | 149,414 | 124,575 | 112,154 |
| COGS | 155,773 | 105,370 | 80,914 | 92,984 | 110,648 | 92,833 | 83,054 |
| Gross Profit | 56,681 | 34,481 | 27,350 | 32,677 | 38,766 | 31,742 | 29,100 |
| Gross Margin | *26.7%* | *24.7%* | *25.3%* | *26.0%* | *25.9%* | *25.5%* | *25.9%* |
| | | | | | | | |
| Adjusted EBITDA | 9,636 | 1,846 | 2,203 | 5,805 | 11,151 | 7,902 | 5,001 |

| Balance Sheet ($000's) as December 31, 2015 | | | |
|---|---|---|---|
| Cash | $4,437 | A/P | $1,010 |
| A/R & Contracts in Transit | 1,696 | Accrued Expenses | 2,603 |
| Inventory | 23,159 | Floor Plan | 18,889 |
| Other Current Assets | 489 | Other | 508 |
| Total Current Assets | 29,781 | Total Current Liabilities | 23,010 |
| | | | |
| | | Other Long-Term Liabilities | 5,654 |
| | | Total Liabilities | 28,664 |
| PP&E, Net | 1,645 | Minority Interest | 665 |
| Other Assets | 30,912 | Shareholders Equity | 33,009 |
| Total Assets | $62,338 | Total Liabilities & Equity | $62,338 |

**AAVIN Equity Partners I, L.P.**

# Investment Valuation Report

**December 31, 2015**

Portfolio Company: **America's PowerSports, Inc.**

## Capitalization & Equity Schedule

| Common Stock: | Current Ownership | Current % | F/D % |
|---|---|---|---|
| Wind Point Partners III, L.P. | 998,302.00 | 49.0% | 49.0% |
| River Cities SBIC III Limited Partnership | 325,631.00 | 16.0% | 16.0% |
| **AAVIN Equity Partners I, LP (SBIC)** | **203,520.00** | **10.1%** | **10.0%** |
| JK&B Capital, L.P. | 85,000.00 | 4.2% | 4.2% |
| River Cities Capital Fund II Limited Partnership (SBIC) | 81,408.00 | 4.0% | 4.0% |
| Castellini Management Company Limited Partnership | 81,408.00 | 4.0% | 4.0% |
| Tom Andrus | 79,172.00 | 3.9% | 3.9% |
| Alpha Capital III SBIC, LP | 78,459.00 | 3.8% | 3.8% |
| Alpha Capital Fund II, L.P. | 21,250.00 | 1.0% | 1.0% |
| Central Texas Harley-Davidson, LP | 20,400.00 | 1.0% | 1.0% |
| Robert A Peiser | 20,000.00 | 1.0% | 1.0% |
| Dennis Bookshester | 15,000.00 | 0.7% | 0.7% |
| Wind Point III Executive Advisor Partners | 6,558.00 | 0.3% | 0.3% |
| | 2,024,342 | 100.00% | 99.89% |
| Total Options Outstanding/Issued | 2,500 | | 0.12% |
| | 2,026,842 | | 100.00% |

## Board of Directors

| Name | Position/Affiliation |
|---|---|
| Tom Andrus | Director/CEO |
| Bob Peiser | Independent Outside Director |
| Dennis Bookshester | Independent Outside Director |
| Richard Krakum | Director / Wind Point Partners |
| Nathan Brown | Director / Wind Point Partners |
| Eric Lenning | Director / River Cities Capital Funds |
| Paul Rhines | Observer / AEP1 |

## Company Contact Information

| Company Information | Principal Officer |
|---|---|
| America's PowerSports, Inc. | Tom Andrus |
| 825 Market St, Building M, Suite 250, Allen, TX 75013 | CEO |
| Office: (972) 996-4624 | |
| Fax: (972) 996-4631 | |
| www.americaspowersports.com | |

**AAVIN Equity Partners I, L.P.**

# Investment Valuation Report

**December 31, 2015**

| Portfolio Company: | **Archon Woodworks, Inc. (fka Hoffco Acquisition Corporation and Hoffco, Inc.)** |
|---|---|

**Investment Date:** December 1st, 2004

**AAVIN Principal:** Kirk Kaalberg, Board Member

| | Outstanding | Fully Diluted |
|---|---|---|
| **Equity Ownership:** | 15.38% | 15.38% |

| Security | Valuation 12/31/15 | Valuation 6/30/15 | Change | Cost |
|---|---|---|---|---|
| Preferred B & C | $906,273 | $906,273 | 0 | $1,108,627 |

| | | | |
|---|---|---|---|
| **Equity Valuation:** | $ 5,892,542 | **Enterprise Valuation:** | $ 9,823,542 |

## Valuation

The valuation of Archon as of December 31, 2015 has not changed from the last valuation on June 30, 2015.

### Preference Discussion & Liquidation Waterfall

In any liquidation all series of preferred stock issued by the company must be redeemed and dividends paid prior to any proceeds being distributed to common interests. Archon has three series of preferred, A, B and C.

Class C 8% Cumulative Preferred Stock is the most senior. Class C is entitled upon liquidation the first $10 million of distributable proceeds and then 2/3's of any other distributions in excess of $10 million. AEP1 owns 15.38% of the Class C.

After the liquidation payments to Class C the Class B 8% Cumulative Preferred Stock is next in priority. Class B shall receive an amount equal to its stated value plus accrued dividends out of 1/3 of all distributions made upon liquidation after the first $10 million. The initial total stated value of Class B is $5,110,001.01 to which accumulated dividends at 8% would be added. AEP1 owns 19.74% of the Class B.

After the liquidation payments to Class B the Class A 8% Cumulative Preferred Stock is next in priority. Class A shall receive an amount equal to its stated value plus accrued dividends out of 1/3 of all distributions made upon liquidation after

the first $10 million and amounts paid to class B shareholders. The initial total stated value of Class A is $3,542,113.00 to which accumulated dividends at 8% would be added. AEP1 owns 37.70% the Class A.

After all liquidation payments to Class A then common interest shall receive 1/3 of all remaining proceeds to be distributed. AEP1 owns 33.6% of the common interests.

## Business Description

On December 17, 2013 Hoffco, Inc. changed its name to Archon Woodworks, Inc. ("Archon" or the "Company"), is a leading designer and manufacturer of specialty wood components sold to kitchen cabinet makers and wood office furniture manufacturers. Archon is an innovator in the specialty kitchen cabinet niche with strong customer relations and a reputation for high-quality products and service.

Archon pioneered the idea of selling kitchen accessories to cabinetmakers over 22 years ago. Today, Archon sells over 4,300 products in 43 states and continues to provide innovative, short-run components to the industry's largest kitchen cabinet makers. Archon's top selling products include patented Reverse-A-Rack custom storage systems, appliance garages, patented tambour guides, arched valances, and pantry swing shelves. Archon owns the KitchenAire@ trademark and markets a line of premium kitchen ventilators under this widely recognized brand. The Company is located in Wood Lake, Minnesota, approximately 120 miles southwest of Minneapolis.

In December 2005, Archon purchased Valley Oak cabinets of Omaha, Nebraska, for a total of $3,543,000 from Barry Kolterman the sole owner of Valley Oak. The purchase price was approximately 3 times EBITDA.

## Financing

On December 1, 2004, AAVIN Equity Partners I, L.P. ("AEP1") purchased 9,388.88 shares of Redeemable Preferred Stock for $938,888 and $594,444 in a Subordinated Note with a five-year term. The Subordinated Note pays 11% interest currently and 8% PIK. The Preferred Stock has an 8% dividend rate. In addition, AEP1 purchased 3,355.86 shares of Common Stock of the Company for $3,335.86.

| Portfolio Company: | **Archon Woodworks, Inc. (fka Hoffco Acquisition Corporation and Hoffco, Inc.)** |
|---|---|

On December 1, 2005, AEP1 purchased an additional 3,967.13 shares of Redeemable Preferred Stock for $396,713, 3,355.86 share of Common Stock for $3,335.86 and a $51,942 Subordinated Note. The Subordinated Note pays 11% interest currently and 8% PIK. The Preferred Stock has an 8% dividend rate. This was part of a $1.25 million financing by the existing investors to fund the $3.5 million purchase of Valley Oak Cabinets of Omaha, Nebraska.

On June 27, 2008, AEP1 purchased a $222,918 Subordinated Note as part of an $800,000 financing by current investors. This Note carries an interest rate of 18%, with 9% currently paid and 9% PIK. This funding was done in conjunction with a restructuring of both the bank and the Kolterman debt.

On December 19, 2008, AEP1 purchase a $139,324 Subordinated Note as part of a $500,000 financing by current investors. This funding had been expected to fund new marketing efforts. However due to deteriorating market conditions most of these dollars will be used to improve the Company's balance sheet and projected cash availability.

On June 30, 2011, AEP1's notes originating in 2004, June 2008 and December 2008 along with the associated accumulated interest were converted to a Series B Preferred Stock. The total dollars, $1,838,916.30 (notes of $1,008,627.23 plus interest of $830,289.07) were converted to 18,289 shares, or 19.241% of the Series B equity.

On June 30, 2011, AEP1 deposited $75,000 in M & I Bank, Minneapolis. This amount was AEP1's portion of a $300,000 pledge that was necessary for M & I to continue the loan agreements that were expiring on or around June 30, 2011.

On December 17, 2013, AEP1 purchased $100,000 (1,000 shares) of Class C 8% Cumulative Preferred Stock. The total financing was $650,000 and was provided by insiders. Class C is entitled upon liquidation the first $10 million of distributable proceeds and then 2/3's of any other distributions in excess of $10 million. AEP1 owns 15.38% of the Class C.

## Current Status

While the company did achieve profitability in 2015 it fell short of budget. The improvement is due to a focus on the sale and production of more profitable product offerings. You will note that the total revenue for the year was basically flat over 2014, but there was improvement in profitability. The revenue shortfall

vs. budget was due to lack of new customer adds. The outlook for 2016 appears positive with the addition of a major new customer for the Minnesota location. This customer, Champion Homes is budgeted to add over $1.2M in revenue and $350K in EBITDA.

The budgeted EBITDA for 2016 is $1.4M. This budget appears very doable with few stretch assumptions.

Based on the current enterprise valuation of the company and the waterfall analysis the Common Stock and Series A preferred is worthless and it is not expected that any of the cost basis will ever be realized. The Common and Series A had previously been fully depreciated on an unrealized basis. As of 12/31/14, all of the cost for the Common Stock ($6,712) and all of the cost of the Series A ($1,335,601) has been written off on a realized basis for a realized loss of $1,342,313.

## Keys to Success

- Home Depot relationship
- New product rollout
- Housing industry
- John Fruhwirth

## Exit Strategy

The most likely exit strategy is the sale to a strategic buyer, executing a roll-up strategy.

| Portfolio Company: | **Archon Woodworks, Inc. (fka Hoffco Acquisition Corporation and Hoffco, Inc.)** |
|---|---|

## Historical Financial Performance

Income Statement ($000) – For the historical years ended December 31st (unless otherwise noted.)

| | For the FYE ended 12/31 | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | **2008** | **2009** | **2010** | **2011** | **2012** | **2013** | **2014** | **2015** |
| Sales | 15,584 | 11,419 | 13,054 | 12,775 | 12,296 | 13,138 | 13,954 | 13,922 |
| COGS | 12,453 | 9,379 | 10,602 | 10,625 | 10,418 | 10,262 | 12,477 | 12,132 |
| Gross Profit | 3,132 | 2,040 | 2,452 | 2,150 | 1,878 | 2,876 | 1,477 | 1,790 |
| Gross Margin | *20.1%* | *17.9%* | *18.8%* | *16.8%* | *15.3%* | *21.9%* | *10.6%* | *12.9%* |
| | | | | | | | | |
| SG&A | 2,608 | 2,024 | 2,149 | 2,164 | 1,842 | 4,915 | 1,702 | 1,605 |
| EBIT | 523 | 16 | 303 | (14) | 36 | (2,039) | (225) | 185 |
| EBIT Margin | *3.4%* | *0.1%* | *2.3%* | *-0.1%* | *0.3%* | *-15.5%* | *-1.6%* | *1.3%* |
| | | | | | | | | |
| Depreciation/Int | 555 | 702 | 793 | 926 | 891 | 1,465 | 558 | 506 |
| EBITDA | 1,192 | 718 | 1,096 | 912 | 927 | (574) | 333 | 691 |
| EBITDA Margin | *7.6%* | *6.3%* | *8.4%* | *7.1%* | *7.5%* | *-4.4%* | *2.4%* | *5.0%* |

| **Balance Sheet ($000) as of December 31, 2015** | | | |
|---|---|---|---|
| Cash | ($230) | Accounts Payable | $738 |
| A/R, net | 567 | Accrued Liabilities | 257 |
| Inventory | 1,096 | Line of Credit | 1,506 |
| Other Current Assets | (7) | Current Portion LT Debt | 51 |
| Total Current Assets | 1,426 | Total Current Liabilities | 2,552 |
| | | | |
| PP&E, net | 2,823 | LT Debt | 2,161 |
| Other Assets, net | 3,889 | Ownership Equity | 3,425 |
| Total Assets | $8,138 | Total Liabilities & Equity | $8,138 |

| Portfolio Company: | **Archon Woodworks, Inc. (fka Hoffco Acquisition Corporation and Hoffco, Inc.)** |
|---|---|

## Capitalization & Equity Schedule

Presented below is the Company's equity ownership structure presented across the different classes of units.

| Investor | Common | % | Series A | % | Series B | % | Series C | % |
|---|---|---|---|---|---|---|---|---|
| Lewis & Clark Private Equities, LP | 3,060 | 20% | 6,089 | 23% | 16,382 | 23% | 1,340 | 21% |
| Invest Northwest, LP | 1,507 | 10% | 2,999 | 11% | 8,069 | 11% | 660 | 10% |
| AAVIN Equity Partners I, LP | 6,712 | 43% | 13,356 | 51% | 18,289 | 26% | 1,000 | 15% |
| Federal Street Holdings LLC | 1,072 | 7% | 2,134 | 8% | 26,344 | 37% | 2,500 | 38% |
| Wood Lake SIGI, LLC | 1,541 | 10% | 877 | 3% | 759 | 1% | | 0% |
| Fieldston IV, LLC | 1,541 | 10% | 877 | 3% | 759 | 1% | | 0% |
| John Fruhwirth | | | | | | | 600 | 9% |
| Other | | | | | | | 400 | 6% |
| | 15,433 | 100% | 26,333 | 100% | 70,602 | 100% | 6,500 | 100% |

## Board of Directors

| Name | Position/Affiliation |
|---|---|
| John Snow | Chairman/Boston Projects |
| Steve Leese | Director / Fieldston |
| John Fruhwirth | Director/CEO |
| David Schroder | Director / Lewis & Clark |
| Kirk Kaalberg | Director / AEP1 |

## Company Contact Information

| Name & Location | Principal Officer |
|---|---|
| Archon Woodworks, Inc.<br>North State Highway 274<br>Wood Lake, MN 56297<br>Voice: (507) 485-3131 Fax: (507) 485-3533 | John Fruhwirth<br>CEO |
| 7050 North 97th Plaza Circle<br>Omaha, Nebraska 68122<br>Phone: (402)573-9244 | |

**AAVIN Equity Partners I, L.P.**

# Investment Valuation Report

**December 31, 2015**

Portfolio Company: **Coolibar, Inc.**

**Investment Date:** May 6th, 2005

**AAVIN Principals:** Thies Kolln, Board Member
Kirk Kaalberg, Board Observer

| | ***Outstanding*** | ***Fully Diluted*** |
|---|---|---|
| ***Equity Ownership:*** | 22.2% | 19.6% |

| Security | Current Valuation 12/31/2015 | Previous Valuation 6/30/2015 | Change | Cost |
|---|---|---|---|---|
| Series D, E & Warrants - Total | $5,180,818 | $5,180,818 | $0 | $2,953,334 |

| | | | |
|---|---|---|---|
| **Equity Valuation:** | $ 25,970,000 | **Enterprise Valuation:** | $ 27,226,125 |

## Valuation

The valuation of Coolibar as of December 31, 2015 has not changed from the last valuation on June 30, 2015.

### Preference Discussion & Liquidation Waterfall

In any liquidation all series of preferred stock issued by the Company must be redeemed and dividends paid prior to any proceeds being distributed to common stock. Coolibar has five series of preferred stock: A, B, C, D and E. All series of preferred stock are convertible, and a holder may, upon a liquidity event, elect to receive either the liquidation preference of the stock or convert the stock to common stock. AEP1 holds both Series E Preferred and Series D Preferred and the Bridge Note Warrants are exercisable for additional Series E Preferred. The Series E Preferred must be paid before any of the other series of preferred, followed by the Series D Preferred, and then all other series of preferred stock. All series of preferred have a one (1) times liquidation preference except the Series E Preferred, which has a two (2) times liquidation preference.

## Business Description

Coolibar, Inc. ("Coolibar" or the "Company") is a catalog and internet retailer of sun-protective clothing and related items such as hats, sunscreen and other accessories. Coolibar targets customers who have had, either personally or

within their immediate family, health problems associated with sun exposure such as skin cancer and lupus. The Company targets these customers on the catalog side by direct mail campaigns and limited advertising and on the internet side by search engine placement and linked websites giving information on skin cancer, sun exposure, and related issues. Uniquely, the Company also distributes its catalogs through dermatologist offices and markets heavily to these doctors. The Company differentiates its products through a rigorous testing procedure on every dye lot, which enables it to verify the sun protective qualities of each item of apparel sold and maintain very high standards.

**Financing**

On May 6, 2005, AAVIN Equity Partners I, L.P. ("AEP1") purchased 3,000 shares of 5% Series D Cumulative Convertible Participating Preferred Stock (the "Series D Preferred") for $749,990. The Series D Preferred has a 5% dividend rate and a liquidation preference of two times original cost plus accrued dividends. In addition, AEP1 purchased for $10 a Warrant to purchase an additional 2,000 shares of Series D Preferred. The exercise price of the Warrant was $250 per share for an aggregate exercise price of $500,000. The Warrant was exercisable for 30 months following the closing and was exercised on November 28, 2006.

On February 27, 2006, AEP1 purchased an additional 400 shares of Series D Preferred for $99,990 and purchased for $10 a Warrant to purchase an additional 267 shares of Series D Preferred.

On November 28, 2006, AEP1 exercised its original warrants for 2,000 shares of Series D Preferred for $500,000.

On November 9, 2007, AEP1 purchased a Bridge Note in the face amount of $300,000 for $300,000.

On December 17, 2007, AEP1 purchased 3,000 shares of Series D Preferred for $750,000. As partial payment of the purchase price, AEP1 converted all of the outstanding principal of the Bridge Note. In addition, AEP1 received 33 shares of Series D Preferred as compensation in lieu of interest and loan fees on the Bridge Note valued at $8,250.

On March 31, 2008, AEP1 purchased 1,000 shares of Series D Preferred for $250,000.

On September 30, 2008, October 23, 2008, November 24, 2008, December 22, 2008, and April 13, 2009, AEP1 purchased a total of $450,000 of Convertible

Bridge Notes and Warrants. The Bridge Notes are convertible into the securities issued in the next round of equity raised by the Company or Series D Preferred. The Warrants are for additional securities of the same kind in an amount equal to 50% of the face value of the bridge notes. After the Series E financing, the Warrants are were exercisable for, in the aggregate, 2,250 shares of Series E Preferred.

On October 12, 2009, the Company closed on a Series E Preferred financing. In connection with this financing, because AEP1 did not want its note converted into equity at that time, AEP1's Bridge Notes were exchanged for a new Convertible Note exercisable at any time for Series E Preferred.

On October 11, 2012, the Convertible Note plus accrued interest automatically converted into 4,870 shares of Series E Preferred in accordance with its terms.

On September 29 and October 22, 2013, AEP1 exercised two Bridge Warrants for a total of $75,000 in cash and received 750 shares of Series E Preferred.

On November 22, December 20, 2013 and April 7, 2014, AEP1 exercised three Bridge Warrants pursuant to a cashless exercise option, receiving a total of 1,035 shares of Series E Preferred.

**Current Status**

Kendra Reichenau has now been Coolibar's CEO for over a year since her hire in August 2014. During that time, Ms. Reichenau has upgraded the quality of the organization at many levels and has significantly changed the culture of the Company to a common focus on building the Coolibar brand. She has put in systems and processes to better control and monitor the Company's inventory, which has not been reflected in the financials yet but has put the Company in a better position both financially with its bank and operationally for the future. Finally, she has begun to roll out the wholesale sales channel and build an organization to manage it. Wholesale is still a small part of total sales, but represents a significant growth driver for the future.

The retail environment in general, and apparel retail in particular, have remained very competitive and highly promotional. In this environment, profitable sales growth has been difficult. This is shown in Coolibar's modest sales growth from 2014 to 2015. The increase in projected sales for 2016 is due to (1) the growth in wholesale channels and (2) continued strong growth in online sales through Amazon, which has been driving online sales growth for the Company. Coolibar

has been successful in holding margins steady, which is a very positive position relative to the apparel industry, and expect this to continue.

## Liquidity and Capital Resources

After switching from Venture Bank to Associated Bank in 2011, Coolibar has recently switched its banking relationship back to Venture Bank as of December 2014. Venture is providing the Company with a line of credit as well as a $500,000 term loan. The cash availability under the line of credit is anticipated to be more than sufficient to meet liquidity needs in 2016. With the current success at focusing on profitability, liquidity is expected to improve going forward as well.

## Keys to Success

Continue to add attractive product offerings that raise average dollars per customer order, while maintaining a manageable total number of SKUs.

Add wholesale and/or retail channels in and prepare to expand these channels in future years.

Expand awareness of Coolibar brand and become a leader in high-end sun protective clothing.

Effectively spend marketing dollars to grow sales and minimize customer acquisition costs.

## Exit Strategy

The Company recently engaged Sonenshine Partners to help it evaluate exit options. It is anticipated that a process could begin at some point in 2016, assuming favorable results at Coolibar and a continued strong market.

**AAVIN Equity Partners I, L.P.**

# Investment Valuation Report

**December 31, 2015**

Portfolio Company: **Coolibar, Inc.**

## Historical Financial Performance

Income Statement (Whole $) – For the fiscal years ended September 30th.

| (Whole$) | FY End Sept. 30 | | | | 3 mo. end | Budget YTD | Budget |
|---|---|---|---|---|---|---|---|
| | **2012** | **2013** | **2014** | **2015** | **Dec-15** | **Dec-15** | **2016** |
| Net Sales | 15,512,154 | 17,797,827 | 19,736,036 | 20,454,405 | 2,365,684 | 2,275,603 | 24,616,446 |
| COGS | 7,002,449 | 8,398,708 | 9,276,358 | 9,589,308 | 1,342,305 | 1,295,357 | 11,431,046 |
| Gross Profit | 8,509,705 | 9,399,119 | 10,459,678 | 10,865,097 | 1,023,379 | 980,246 | 13,185,400 |
| Gross Margin | *54.9%* | *52.8%* | *53.0%* | *53.1%* | *43.3%* | *43.1%* | *53.6%* |
| | | | | | | | |
| Merchandising | 799,354 | 1,119,135 | 932,743 | 962,214 | 251,197 | 262,640 | 1,032,110 |
| Sales & Marketing | 5,725,919 | 7,259,661 | 6,905,738 | 7,428,199 | 1,035,854 | 1,145,884 | 8,556,321 |
| General & administrative | 1,385,204 | 1,495,210 | 1,707,779 | 1,700,779 | 371,628 | 382,963 | 1,946,415 |
| Total Operating Expenses | 7,910,477 | 9,874,006 | 9,546,260 | 10,091,192 | 1,658,679 | 1,791,487 | 11,534,846 |
| | | | | | | | |
| EBIT | 599,228 | (474,887) | 913,418 | 773,905 | (635,300) | (811,241) | 1,650,554 |
| | | | | | | | |
| Interest and Other Expense | 178,335 | 228,124 | 204,203 | 174,532 | 21,117 | 24,759 | 120,415 |
| | | | | | | | |
| Pre-Tax Income (Loss) | 420,893 | (703,011) | 709,215 | 599,373 | (656,417) | (836,000) | 1,530,139 |
| | | | | | | | |
| EBITDA | 876,096 | 56,306 | 1,446,818 | 1,357,658 | (532,673) | (707,973) | 2,008,510 |

**Balance Sheet as of December 31, 2015 (Whole $)**

| | | | |
|---|---|---|---|
| Cash | $ 94,827 | Line of Credit | $ 850,000 |
| A/R | 100,394 | Accounts Payable and Accruals | 993,272 |
| Inventory | 3,971,684 | Reserve for Returns | 200,000 |
| Inventory Deposits | 470,121 | Deferred Revenue | 218,984 |
| Prepaid Expenses & Other | 209,964 | Total Current Liabilities | 2,262,256 |
| Deferred Advertising Costs | 568,739 | | |
| Total Current Assets | 5,415,729 | Bank Term Loan | 122,246 |
| | | Capital Lease Obligations | 22,724 |
| | | Deferred Lease Credit | 60,733 |
| PP&E, Net | 401,100 | Other Long Term Liabilities | 261,155 |
| Trademarks, net | 125,496 | | |
| Deposits & Other | 22,658 | Equity | 3,235,869 |
| Total Assets | $ 5,964,983 | Total Liabilities & Equity | $ 5,964,983 |

Portfolio Company: **Coolibar, Inc.**

## Capitalization & Equity Schedule

Presented below is the Company's common equity ownership structure presented on a common equivalent basis across the different classes of stock.

| | Common Equivalents Outstanding | % | Options | Warrants | Total Fully Diluted | % |
|---|---|---|---|---|---|---|
| John Barrow | 8,886 | 12.3% | 990 | 1,175 | 11,051 | 13.5% |
| Mary Barrow | 9,531 | 13.2% | | | 9,531 | 11.6% |
| Other management and directors | 3,800 | 5.2% | 6,432 | | 10,232 | 12.5% |
| Individual Investors, total | 16,862 | 23.3% | | 1,128 | 17,990 | 21.9% |
| LFE Capital Fund I | 7,264 | 10.0% | | | 7,264 | 8.8% |
| LFE Growth Fund II | 10,000 | 13.8% | | | 10,000 | 12.2% |
| **AAVIN Equity Partners I, L.P.** | **16,087** | **22.2%** | | | **16,087** | **19.6%** |
| Total | 72,430 | 100.0% | 7,422 | 2,303 | 82,155 | 100.0% |

## Board of Directors

| Name | Position/Affiliation |
|---|---|
| Kendra Reichenau | CEO |
| John Barrow | Founder |
| Thies Kolln | AEP1 |
| Asha Moran | Outside Dierctor, Board Chair |
| Susan Engel | Outside Director |
| Steve Shank | Outside Director |
| Kirk Kaalberg | AEP1 (Observer) |
| Laurent Frecon | LFE (Observer) |

## Company Contact Information

| Name & Location | Principal Officers |
|---|---|
| Coolibar, Inc.<br>2401 Edgewood Ave. South<br>Minneapolis, MN 55426<br>Voice: (952) 922-1445 Fax: (952) 922-1455 | Kendra Reichenau, CEO |